

# Effective Labor Rate — Revenue Recovery

What an hour at \$169 instead of \$139 brings back.

INPUTS

|                              |                                       |                                      |
|------------------------------|---------------------------------------|--------------------------------------|
| PRODUCTIVE TECHS<br><b>9</b> | BILLED HRS / TECH / WEEK<br><b>32</b> | WORKING WEEKS / YEAR<br><b>50</b>    |
| CURRENT RATE<br><b>\$139</b> | PROPOSED RATE<br><b>\$169</b>         | ANNUAL BILLED HOURS<br><b>14,400</b> |

| REVENUE RECOVERY — SAME WRENCHES, SAME BAYS |                                  |                             |
|---------------------------------------------|----------------------------------|-----------------------------|
| ADDED / MONTH<br><b>\$36,000</b>            | ADDED / YEAR<br><b>\$432,000</b> | ADDED MARGIN<br><b>~95%</b> |

|                                      |             |
|--------------------------------------|-------------|
| Current revenue @ \$139 (14,400 hrs) | \$2,001,600 |
| Proposed revenue @ \$169             | \$2,433,600 |
| Recovered gross margin / year        | + \$432,000 |

BOTTOM LINE

The rate increase carries almost no added cost — no extra parts, labor, or bay time. It's the highest-margin lever on the board.

DELTA = billed\_hrs × (proposed – current). All currency computed in integer cents. Replace inputs with live shop data before commitment.

# Tekmetric ROI — Days to Payback

Conservative, labor-recovery only. Consumables counted once in the Shop Supplies model, so nothing is double-counted.

INPUTS

|                                         |                                      |                                              |
|-----------------------------------------|--------------------------------------|----------------------------------------------|
| COST / LOCATION / MONTH<br><b>\$500</b> | LOCATIONS<br><b>3</b>                | SYSTEM COST / MONTH (EST.)<br><b>\$1,500</b> |
| PRODUCTIVE TECHS<br><b>9</b>            | LOST HRS / TECH / WEEK<br><b>1.0</b> | LABOR RATE · WEEKS<br><b>\$139 · 52</b>      |

| IT PAYS FOR ITSELF IN THE FIRST WEEK AND A HALF OF EVERY MONTH |                                     |                                  |
|----------------------------------------------------------------|-------------------------------------|----------------------------------|
| DAYS TO PAYBACK<br><b>8.3</b>                                  | RETURN / \$1 SPENT<br><b>\$3.61</b> | BREAK-EVEN<br><b>10.8 hrs/mo</b> |

|                                 |            |
|---------------------------------|------------|
| Recovered unbilled labor / year | + \$65,052 |
| Tekmetric system cost / year    | − \$18,000 |
| Net annual gain                 | + \$47,052 |

BOTTOM LINE

**Paper got the shops this far — a system captures the work paper can't, and pays for itself by the 9th. Not counted here, all upside: idle-bay recovery, faster collections, and the PA-compliant audit trail.**

labor = techs × lost\_hrs × weeks × rate · days = (monthly cost ÷ monthly recovery) × 30. Conservative defaults — push lost-hours up to your real number and payback drops.

# Shop Supplies Fee — Margin & Goodwill

Recover consumables invisibly while giving away the \$3 top-offs.

INPUTS

|                                     |                                |                                 |
|-------------------------------------|--------------------------------|---------------------------------|
| REPAIR ORDERS / MONTH<br><b>600</b> | AVG LABOR / RO<br><b>\$450</b> | CONSUMABLES / RO<br><b>\$12</b> |
| FEE — % OF LABOR<br><b>7.0%</b>     | HARD CAP / RO<br><b>\$40</b>   | BREAK-EVEN FEE %<br><b>2.7%</b> |

| NET MARGIN AFTER RECOVERING CONSUMABLES COST |                                |                                |
|----------------------------------------------|--------------------------------|--------------------------------|
| NET / REPAIR ORDER<br><b>\$19.50</b>         | NET / MONTH<br><b>\$11,700</b> | NET / YEAR<br><b>\$140,400</b> |

|                                           |           |
|-------------------------------------------|-----------|
| Fee charged / RO (7% of \$450, under cap) | \$31.50   |
| Consumables cost recovered / RO           | – \$12.00 |
| Net margin / RO                           | + \$19.50 |

**BOTTOM LINE**

**A small structural fee protects the margin and the relationship at the same time. Zero capital, live this week.**

charged = min( round(labor × bp ÷ 10000), cap ). PA compliance: the shop-supplies fee must be disclosed and itemized as its own line.<